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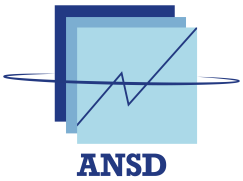
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Poverty Analysis Project – ISE1 CL 2026

TOPIC

Assessing the impact of cash transfers on poverty and inequality in Senegal

Written by:

Herman Parfait NGAKE YAMAHA

Student in ISE1-CL at ENSAE

Under the supervision of:

Mr. Omar SENE

Policy Specialist and Data Analyst

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Abstract

This report evaluates the impact of seven cash transfer scenarios on poverty and inequality in Senegal, using microdata from the 2018 Harmonised Survey on Household Living Conditions (EHCVM), aged to simulate the economic and demographic conditions of 2025. Poverty and inequality are measured through the Foster–Greer–Thorbecke (FGT) indices and the Gini coefficient. The 2025 baseline reveals that 34.56% of the Senegalese population lives below the national poverty line (compared to 37.78% in 2018), with a pronounced gap between rural areas (50.26%) and urban areas (16.72%). Among the seven scenarios evaluated, the Universal Cash Transfer and the Poor Households Targeting both achieve the largest reductions in the poverty headcount ratio, bringing it from 34.56% down to 31.57%, a decrease of 2.99 percentage points. However, the Poor Households Targeting scenario does so at a cost four times lower (0.51% of GDP versus 2.10% of GDP for the universal transfer), making it the most cost-efficient policy. Demographically targeted scenarios — covering households with infants, elderly members, or disabled members — produce more modest reductions, all below one percentage point in the national headcount ratio. All scenarios reduce the Gini coefficient, but the magnitude remains limited (from -0.002 to -0.009 points nationally), confirming that cash transfers alone cannot restructure deep-rooted income inequalities. These findings underscore the importance of combining well-targeted income support with long-term structural reforms in rural infrastructure, education and labour markets.

Keywords: cash transfers, poverty, FGT indices, Gini coefficient, inequality, social protection, targeting, data ageing, rural poverty, Senegal, EHCVM.

Introduction

Social protection systems are a fundamental pillar in the fight against poverty and the reduction of inequalities. In a global context marked by repeated economic shocks, climate crises and deep demographic transitions, cash transfer programmes have risen to prominence in the public policies of developing countries. According to the World Bank, more than 130 countries currently implement such programmes, covering more than 2.5 billion people worldwide (World Bank, 2023). In Senegal, as in many sub-Saharan African countries, poverty remains a pervasive reality affecting a significant share of the population, with marked disparities between urban and rural areas.

Cash transfers — whether universal or targeted — provide a direct response to the immediate needs of the most vulnerable households, while generating multiplier effects on local consumption, investment in human capital and social cohesion. Their potential lies in their ability to break intergenerational poverty traps, stimulate local demand and strengthen the economic resilience of beneficiary households.

This report evaluates the impact of seven cash transfer scenarios on poverty and inequality in Senegal. The analysis draws on data from the Harmonised Survey on Household Living Conditions (EHCVM) of 2018, aged to simulate the economic and demographic conditions of 2025. Using the Foster, Greer and Thorbecke (FGT) indices and the Gini coefficient, this work aims to answer the following question: to what extent can cash transfer policies, depending on their targeting modalities, reduce poverty and inequality in Senegal in 2025?

The approach combines a data ageing methodology, a calculation of poverty and inequality indicators, and a comparative analysis of scenario efficiency. The report is structured as follows: after a presentation of the policies studied and their budgetary cost (Chapter 1), the methodology is described in detail (Chapter 2). The results are then presented and analysed (Chapter 3), before concluding with economic policy recommendations (Chapter 4) and a final summary.

Chapter 1

Policy description and budgetary analysis

1.1 Presentation of transfer scenarios

Seven cash transfer scenarios are evaluated in this report. Each provides a uniform annual allocation of 200,000 FCFA per eligible household, but differs in its eligibility criteria, thereby determining the size of the beneficiary population and, consequently, the total cost of the policy. These scenarios range from universal coverage — reaching all households — to precise targeting based on poverty status or specific demographic characteristics.

Table 1 : Description of cash transfer scenarios

No.	Name	Eligibility criterion
S1	**Universal Cash Transfer**	All households without distinction
S2	**Rural Universal Cash Transfer**	Households residing in rural areas
S3	**Households with Infants**	Households with at least one child under one year of age
S4	**Rural Households with Infants**	Rural households with at least one child under one year of age
S5	**Households with Elderly Members**	Households with at least one member over 65 years of age
S6	**Households with Disabled Members**	Households with at least one permanently disabled member
S7	**Poor Households**	Households whose per capita expenditure is below the national poverty line

Source: ISE1 CL 2026 Project.

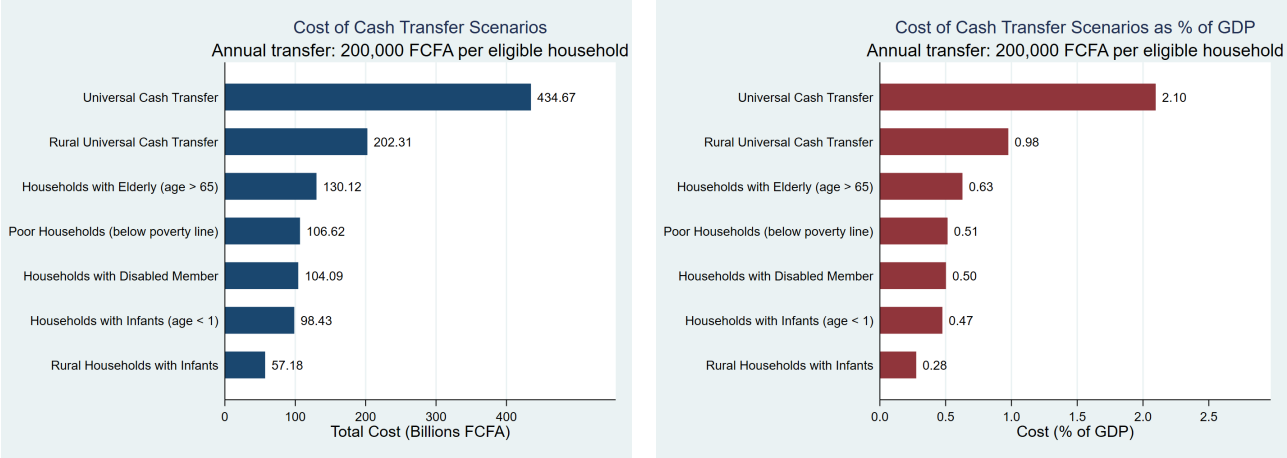
1.2 Budgetary analysis of scenarios

Costs vary considerably across scenarios: from 57.18 billion FCFA for the *Rural Households with Infants* scenario (0.28% of GDP) to 434.67 billion for the *Universal Cash Transfer* (2.10% of GDP), a ratio of approximately 1 to 8. It is notable that the *Poor Households* targeting involves a cost of 106.62

billion FCFA (0.51% of GDP), comparable to *Households with Elderly Members* and *Households with Disabled Members* (between 104 and 130 billion), yet its eligibility criterion is based solely on poverty status rather than demographic characteristics. This cost proximity between scenarios with different logics makes the comparison of their respective impacts on poverty all the more relevant, which will be examined in the results chapter. The reference GDP for 2025 is estimated at 20,740,357,000,000 FCFA, as reported by Worldometer.

Figure 1 illustrates these cost differences visually. The left panel ranks scenarios by absolute cost in billions of FCFA, while the right panel expresses the same ranking as a share of GDP. Both panels confirm the same ordering and highlight the substantial gap between the *Universal Cash Transfer* — the most expensive policy by a wide margin — and the remaining scenarios, which all fall below 1% of GDP. The two panels together underline that the choice of targeting modality has a decisive impact on the fiscal burden of a transfer programme, with a cost ratio of nearly 1 to 8 between the least and most expensive scenarios.

Figure 1 : Cost of cash transfer scenarios, ranked from most to least expensive



Source: EHCVM 2018, Worldometer, RGPH-5 2023; Author's calculations.

Chapter 2

Methodological approach

2.1 Data source

The analysis draws on the microdata from the Harmonised Survey on Household Living Conditions (EHCVM) 2018-2019, conducted under the auspices of the World Bank and the West African Economic and Monetary Union (WAEMU). This survey provides detailed information on consumption expenditure, household composition, area of residence (urban/rural) and individual socio-demographic characteristics. Since these data date from 2018, an ageing procedure is applied to simulate the conditions of 2025.

2.2 Data ageing

2.2.1 General principle

The data ageing technique consists in updating the variables of an old survey to reflect the economic and demographic conditions of a target year. Three adjustments are applied successively to sampling weights, consumption expenditure and the poverty line.

2.2.2 Demographic adjustment

Sampling weights are multiplied by the demographic growth ratio between 2018 and 2025, so that the dataset represents the 2025 population:

$$\texttt{hhweight}_{2025} = \texttt{hhweight}_{2018} \times \frac{\text{Pop}_{2025}}{\text{Pop}_{2018}}$$

2.2.3 Consumption expenditure adjustment

Total household expenditure is revalued using the growth rate of GDP per capita in current USD, which serves as an overall indicator of the progression of the average standard of living:

$$\texttt{dtot}_{2025} = \texttt{dtot}_{2018} \times \frac{\text{GDP/cap}_{2025}}{\text{GDP/cap}_{2018}}$$

Per capita expenditure is then recalculated taking into account household size and the original spatial and temporal deflators, which are retained to preserve the structural disparities of the survey:

$$\texttt{pcexp}_{2025} = \frac{\texttt{dtot}_{2025}}{\texttt{hhsize} \times \texttt{def_spa} \times \texttt{def_temp}}$$

2.2.4 Poverty line adjustment

The national poverty line is updated using the evolution of the Harmonised Consumer Price Index (HCPI, base 2023), which reflects price changes between 2018 and 2025:

$$z_{2025} = z_{2018} \times \frac{\text{HCPI}_{2025}}{\text{HCPI}_{2018}}$$

The table below summarises the numerical parameters used for ageing.

Table 2 : Data ageing parameters (2018 → 2025)

Parameter	2018 value	2025 value	Ratio
Population (inhabitants)	15,726,037	19,075,962	1.213
GDP per capita (current USD)	1,459	1,921	1.317
HCPI (base 2023)	81.31	102.25	1.258

Source: Worldometer (GDP/capita), ANSD/DMIS (HCPI), RGPHAE 2013 and RGPH-5 2023 (Population); Author's calculations.

2.3 Calculation of FGT indices

The Foster, Greer and Thorbecke (1984) indices measure different dimensions of poverty according to the general formula:

$$\text{FGT}(\alpha) = \frac{1}{N} \sum_{i=1}^{N} w_i \cdot \left(\frac{z - y_i}{z} \right)^{\alpha} \cdot \mathbf{1}(y_i < z)$$

where z is the poverty line, y_i the per capita expenditure of household i, and α the sensitivity parameter. For $\alpha = 0$, the headcount ratio is obtained (FGT0, incidence); for $\alpha = 1$, the poverty depth (FGT1, poverty gap); for $\alpha = 2$, the severity (FGT2).

In its original formulation, Foster et al. (1984) assume a uniform weight of $1/N$ for each individual. Here, w_i denotes the individual weight $w_i = \texttt{hhweight} \times \texttt{hhsize}$, introduced to account for the complex

sampling design of the EHCVM: the coefficient `hhweight` represents the number of households in the population that each surveyed household represents, and `hhsize` the number of household members. This weighting allows observations to be aggregated at the individual level while respecting the structure of the survey.

2.4 Calculation of the Gini coefficient

The Gini coefficient is calculated from the Lorenz curve using the trapezoid method:

$$\text{Gini} = 1 - \sum_{k=1}^{n} (L_k + L_{k-1}) \cdot (F_k - F_{k-1})$$

where F_k denotes the cumulative population share and L_k the cumulative consumption expenditure share, after sorting households by ascending per capita expenditure. A Gini of 0 indicates perfect equality of the distribution; a Gini of 1 indicates maximum inequality.

2.5 Scenario simulation and efficiency measurement

For each scenario s (s ranging from 1 to 7), the new post-transfer per capita expenditure is calculated as:

$$\texttt{pcexp}_s = \frac{\texttt{dtot}_{2025} + 200{,}000 \times \mathbf{1}(\text{eligible}_s)}{\texttt{hhsize} \times \texttt{def_spa} \times \texttt{def_temp}}$$

The efficiency of each scenario is then measured by the ratio between the reduction in FGT1 (poverty depth) and the total cost incurred:

$$\text{Efficiency}_s = \frac{\text{FGT1}_{\text{baseline}} - \text{FGT1}_{\text{endline},s}}{\text{Total cost}_s}$$

This measure reflects the reduction in poverty depth achieved per monetary unit spent, independently of the absolute level of impact.

Chapter
3

Analysis of results

3.1 Evolution of indicators between 2018 and 2025

Despite a growth in GDP per capita from 1,459 to 1,921 USD over the period (a rise of 31.67%), the increase in prices measured by the HCPI (ratio of 1.258) led to a rise in the poverty line from 333,441 to 419,312 FCFA per year. This increase in the poverty line effectively offsets part of the income gains, which explains the modest reduction in poverty observed between the two dates.

The headcount ratio (FGT0) falls by 3.22 percentage points between 2018 and 2025, from 37.78% to 34.56%: more than one third of the Senegalese population remains in monetary poverty. The poverty depth (FGT1) decreases from 10.30% to 9.10% (−1.20 points), and the severity (FGT2) falls from 3.93% to 3.38% (−0.55 points). These results indicate that not only has the number of poor people barely declined, but that poor households find themselves, on average, at an expenditure level relatively close to their 2018 level relative to the threshold. The Gini coefficient remains quasi-stable at 0.3506 (compared to 0.3510 in 2018), confirming that the structure of income inequalities has not been fundamentally altered over the period.

Table 3 : Poverty and inequality indicators: 2018 vs 2025 baseline

Indicator	2018	2025	Change
FGT0 – Headcount ratio (%)	37.78	34.56	−3.22 pts
FGT1 – Poverty depth (%)	10.30	9.10	−1.19 pts
FGT2 – Poverty severity (%)	3.93	3.38	−0.55 pts
Gini coefficient	0.3510	0.3506	−0.0004
Poverty line (FCFA/year)	333,441	419,312	+85,871

Source: EHCVM 2018, Worldometer, ANSD/DMIS; Author's calculations.

3.2 Impact of scenarios on FGT indices

3.2.1 Results at the national level

All scenarios reduce the FGT indices, but to varying degrees depending on the targeting approach. The universal transfer (S1) and the targeting of poor households (S7) produce the largest reductions in the headcount ratio: FGT0 falls from 34.56% to 31.57% (−2.99 points) for both scenarios, FGT1 from 9.10% to 7.82% (−1.28 points), and FGT2 from 3.38% to 2.76% (−0.62 points). The rural universal transfer (S2) ranks second in terms of absolute impact, with a reduction in FGT0 of 2.22 points (from 34.56% to 32.34%), in FGT1 of 1.01 points (from 9.10% to 8.09%) and in FGT2 of 0.49 points (from 3.38% to 2.89%). Scenarios targeting specific demographic groups — households with infants (S3), elderly persons (S5) and disabled persons (S6) — show more modest reductions, all below 1 point for FGT0.

Figure 2 : Impact of scenarios on FGT indices (national level)



Source: EHCVM 2018, Worldometer, ANSD/DMIS; Author's calculations.

It is particularly noteworthy that the targeting of poor households (S7) achieves the same impact on all three FGT indices as the universal transfer (S1), at a cost four times lower: 106.6 billion FCFA (0.51% of GDP) compared to 434.7 billion (2.10% of GDP). This result stems from the fact that S7

concentrates the entire budget on households below the poverty line, without dispersing resources towards non-poor households. It should be noted, however, that this calculation does not account for the administrative cost of targeting, which can be significant: the establishment and maintenance of a reliable social registry represent a non-negligible investment, which may reduce the apparent financial advantage of scenario S7.

3.2.2 Disaggregation by area of residence

The analysis by area of residence reveals deep structural disparities. In 2025, the poverty rate reaches 50.26% in rural areas compared to 16.72% in urban areas, a gap of more than 33 percentage points. Rural poverty depth (FGT1 = 13.58%) is more than three times higher than in urban areas (4.02%), reflecting a significantly larger average consumption deficit in rural communities.

Table 4 : FGT0 and FGT1 indicators before and after transfer, by area of residence (%)

No.	Scenario	Urban		Rural	
		FGT0	FGT1	FGT0	FGT1
–	*2025 Baseline*	*16.72*	*4.02*	*50.26*	*13.58*
S1	Universal Cash Transfer	15.07	3.43	46.10	11.67
S2	Rural Universal Cash Transfer	16.72	4.02	46.10	11.67
S3	Households with Infants	16.32	3.83	49.08	12.90
S4	Rural Households with Infants	16.72	4.02	49.08	12.90
S5	Households with Elderly Members	16.32	3.85	48.88	12.91
S6	Households with Disabled Members	16.22	3.85	49.08	13.05
S7	Poor Households	15.07	3.43	46.10	11.67

Source: EHCVM 2018, Worldometer, ANSD/DMIS; Author's calculations.

Several lessons emerge from this disaggregation. First, the rural universal transfer (S2) and rural households with infants (S4), by construction, have no effect on urban indicators: their eligibility criteria entirely exclude urban households. Second, the universal transfer (S1), the rural universal transfer (S2) and the targeting of poor households (S7) produce identical reductions in rural areas — FGT0 falling from 50.26% to 46.10% (−4.16 points) and FGT1 from 13.58% to 11.67% (−1.91 points). This convergence is explained by the fact that poor households are overwhelmingly concentrated in rural areas: targeting the poor is, in practice, equivalent to targeting a large share of the rural population. Third, the demographic scenarios (households with infants, elderly persons, disabled persons) produce weaker effects in rural areas, since their target populations do not fully overlap with the rural poor.

3.3 Scenario efficiency

The efficiency indicator shifts the analysis toward the return on each FCFA spent. The targeting of poor households (S7) dominates the ranking with an efficiency ratio of 1.21×10^{-13}, approximately 4

times higher than that of the universal transfer (2.96×10^{-14}). This ranking reflects the concentration of resources toward the most disadvantaged beneficiaries. In second position, the targeting of rural households with infants (S4) shows an excellent ratio (6.34×10^{-14}) thanks to a very limited cost (57.2 billion FCFA), even though the absolute impact on FGT1 remains modest (−0.36 points). The rural universal transfer (S2) ranks third despite a higher cost (202.3 billion), as it substantially reduces FGT1 (−1.02 points) by concentrating resources in rural areas, where poverty is deepest. The universal transfer (S1) ranks last: by covering all households, it disperses a large share of its resources toward non-poor households, which dilutes its impact relative to the cost incurred.

Table 5 : Ranking of scenarios by efficiency (ΔFGT1 / Total cost)

Rank	No.	Scenario	Cost (Billions FCFA)	ΔFGT1 (pts)	Efficiency
1	**S7**	Poor Households	106.6	−1.29	1.21×10^{-13}
2	**S4**	Rural Households with Infants	57.2	−0.36	6.34×10^{-14}
3	**S2**	Rural Universal Cash Transfer	202.3	−1.02	5.02×10^{-14}
4	**S3**	Households with Infants	98.4	−0.45	4.57×10^{-14}
5	**S6**	Households with Disabled Members	104.1	−0.36	3.44×10^{-14}
6	**S5**	Households with Elderly Members	130.1	−0.44	3.37×10^{-14}
7	**S1**	Universal Cash Transfer	434.7	−1.29	2.96×10^{-14}

Source: EHCVM 2018, Worldometer, ANSD/DMIS; Author's calculations.

3.4 Impact on inequality

3.4.1 National-level results

At the national level, all scenarios reduce the Gini coefficient, but modestly. The targeting of poor households (S7) produces the largest reduction, with the Gini falling from 0.351 to 0.342 (−0.009). The rural universal transfer (S2) ranks second (from 0.351 to 0.344, i.e. −0.007), followed by the universal transfer (S1) with a reduction of 0.006 (from 0.351 to 0.345). The demographic scenarios show smaller declines, ranging between −0.002 and −0.003. These results are consistent with the ranking observed for the FGT indices: scenarios that reduce poverty more also tend to compress inequalities more.

Figure 3 : Gini coefficient before and after transfer, by scenario



Source: EHCVM 2018, Worldometer, ANSD/DMIS; Author's calculations.

3.4.2 Results by area of residence

Disaggregation by area reveals differentiated effects across scenarios. In urban areas, scenarios with an exclusively rural component (rural universal transfer S2, rural households with infants S4) have, by construction, no effect on the urban Gini. The other scenarios produce modest declines, on the order of −0.001 to −0.004. In rural areas, the effects are generally more pronounced, and it is the targeting of poor households (S7) that stands out clearly, with a reduction in the rural Gini of −0.013 (from 0.273 to 0.260), the strongest of all configurations.

Table 6 : Impact of scenarios on the Gini coefficient, by geographic level

Scenario	National		Urban		Rural	
	Base	End	Base	End	Base	End
2025 Baseline	*0.351*	–	*0.351*	–	*0.273*	–
Universal Cash Transfer (S1)	0.351	0.345	0.351	0.347	0.273	0.268
Rural Universal Cash Transfer (S2)	0.351	0.344	0.351	0.351	0.273	0.268
Households with Infants (S3)	0.351	0.348	0.351	0.349	0.273	0.270
Rural Households with Infants (S4)	0.351	0.348	0.351	0.351	0.273	0.270
Households with Elderly Members (S5)	0.351	0.348	0.351	0.349	0.273	0.271
Households with Disabled Members (S6)	0.351	0.349	0.351	0.349	0.273	0.271
Poor Households (S7)	0.351	0.342	0.351	0.347	0.273	0.260

Note: Base = 2025 baseline; End = endline (post-transfer).

Source: EHCVM 2018, Worldometer, ANSD/DMIS; Author's calculations.

All scenarios reduce inequality, but the magnitude of the reduction remains limited, with Gini variations at the national level ranging between -0.002 and -0.009. These levels of reduction may reflect the fact that a transfer, however well targeted, cannot deeply restructure a distribution of income shaped by decades of unequal access to education, labour markets and capital. It is also worth noting that the rural Gini (0.273) is structurally lower than the urban Gini (0.351): this does not reflect greater equity in rural areas, but rather a more homogeneous income distribution — from the bottom — in a context of widespread poverty.

Chapter 4

Economic policy implications and recommendations

The comparative analysis of the seven cash transfer scenarios yields lessons for social policy in Senegal. The following recommendations are addressed to public decision-makers responsible for the design of social protection programmes.

4.1 Prioritising targeting by poverty status

The targeting of poor households (S7) produces the same impact on all three FGT indices as the universal transfer (S1), at a cost four times lower: 106.6 billion FCFA (0.51% of GDP) compared to 434.7 billion (2.10% of GDP). The efficiency per monetary unit spent is thus four times higher. In a context of budgetary constraints, this type of targeting offers a direct and cost-effective response. However, this finding should be qualified: the implementation of poverty-status targeting rests on a reliable social registry, whose construction, regular updating and maintenance represent an administrative cost not accounted for in the simulations. This targeting cost may reduce the apparent efficiency gap between S7 and less targeted scenarios.

4.2 Strengthening the rural component of transfer policies

The data confirm that poverty is heavily concentrated in rural areas, with a rate of 50.26% in 2025 compared to 16.72% in urban areas. The rural universal transfer (S2), ranked second in terms of cost (202.3 billion FCFA, i.e. 0.98% of GDP), produces a significant reduction in FGT0 (-2.21 points), FGT1 (-1.02 points) and the national Gini (-0.007). This scenario is a relevant option when the mechanisms for identifying poor households are insufficient, by geographically targeting areas with a high concentration of poverty.

4.3 Leveraging combined geographic and demographic targeting

The targeting of rural households with infants (S4) ranks second in terms of efficiency at a modest cost of 57.2 billion FCFA (0.28% of GDP, the lowest of all scenarios). This dual targeting — geographic and demographic — makes it possible to reach a particularly vulnerable population at low cost. This

approach is consistent with the Sustainable Development Goal targets on reducing infant mortality and combating malnutrition (SDGs 2 and 3).

4.4 Investing in identification and registry systems

The effectiveness of scenario S7 depends on the quality of social registries. Senegal already has a foundation with the National Unique Registry (NUR), which covers approximately one million vulnerable households (Survey on the Update and Extension of the National Unique Registry, 2025). This tool should be strengthened, its geographic coverage improved — particularly in rural areas — and it should be updated regularly to account for the dynamics of transient poverty.

4.5 Complementing transfers with structural policies

The results show that even the most efficient scenario reduces the national Gini by only 0.008 points. Structural inequalities — gaps between urban and rural areas, unequal access to education, labour markets and land — require long-term reforms that complement cash transfers. Investments in rural infrastructure (roads, electrification, drinking water), in education and health, as well as policies supporting smallholder farming, are essential to address the root causes of poverty and inequality.

Conclusion

This report has evaluated seven cash transfer scenarios with respect to poverty and inequality in Senegal, drawing on EHCVM 2018 data aged to simulate the conditions of 2025. Four main lessons emerge from this analysis.

First, the ageing assumptions — in particular the evolution of prices — have a determining impact on the results. The rise in the poverty line from 333,441 to 419,312 FCFA, driven by the increase in the HCPI (ratio of 1.258), explains why the 2025 poverty rate (34.56%) remains close to its 2018 level (37.78%), despite nominal GDP per capita growth of 31.7%. This result highlights that income gains do not necessarily translate into a real improvement in living standards when prices rise by a comparable magnitude.

Second, the comparison of scenarios confirms that the targeting of poor households constitutes the most efficient policy: for 0.51% of GDP, it produces the same impact on all three FGT indices as the universal transfer (2.10% of GDP), while recording the best efficiency ratio among the seven policies studied. This advantage should nonetheless be qualified by the administrative cost of targeting, which is not accounted for in the simulations.

Third, the rural dimension of poverty in Senegal is prominent. With a poverty rate of 50.26% in rural areas compared to 16.72% in urban areas, any ambitious social protection policy must integrate a strong territorial component, at the risk of failing to reach the most disadvantaged populations.

Fourth, cash transfers reduce inequality, but to a limited extent. The observed Gini variations remain between -0.002 and -0.009, confirming that transfers alone cannot transform the deep structure of economic inequalities. Complementary structural reforms, including those presented in this report, are necessary to address the root causes of poverty and create the conditions for more inclusive development.

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